How to Buy a Car

By Isagi · 9 November 2026 · All specs as of November 2026 (manufacturer brochures and listings)

TL;DR

Buying a car well is a sequence of decisions, not one: **budget** (on-road price and five-year cost, not the ex-showroom headline), **need** (body type and seats), **fuel and tech** (matched to your kilometres and charging access), **safety** (non-negotiables), a **shortlist of three** with real test drives, the right **variant**, then **finance, insurance and negotiation**. The numbers in this chapter use stated assumptions, so replace them with your own quotes. A key insight: over five years, depreciation (the fall in the car's value) is usually the largest single cost, bigger than fuel.

1. Start with the real budget

The ex-showroom price is not what you pay. Taxes and charges add roughly 15% or more.* The chart builds an on-road price for a ₹12 lakh ex-showroom car using assumed rates; yours will differ by state and variant.

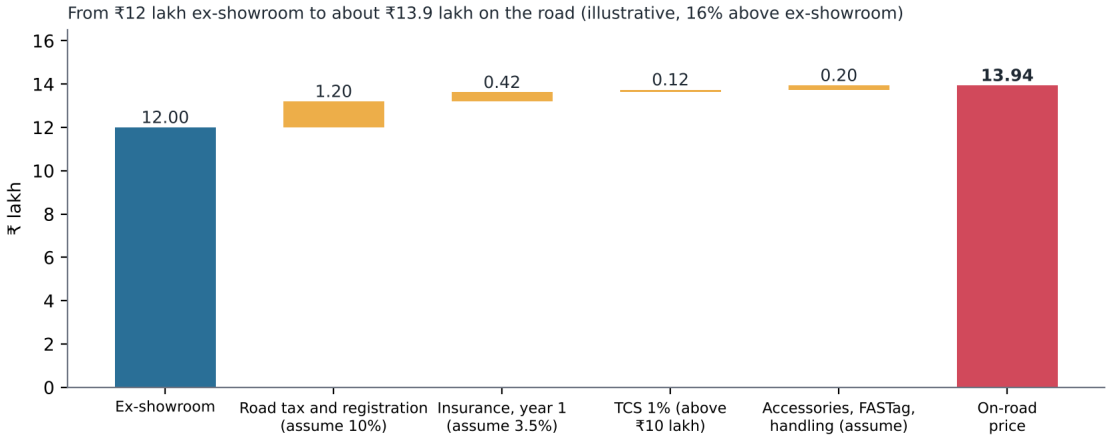


Fig 1. From ex-showroom to on-road price on assumed rates. Road tax varies widely by state and fuel type; insurance varies with the car's value and add-ons.

- **Road tax and registration:** paid to the state, varies a lot (some states waive it for EVs).*
- **Insurance:** third-party insurance is compulsory by law; comprehensive cover adds protection for your own car.
- **TCS:** tax collected at source of 1% applies on cars costing more than ₹10 lakh (Section 394 of the Income-tax Act, 2025; earlier Section 206C(1F)).
- **Extras:** accessories, extended warranty, FASTag, handling charges. Ask for an itemised quote and drop anything you do not want.

Then set a ceiling for monthly cost. A common personal-finance rule of thumb is that your car EMI should be no more than about 15% of take-home pay, and total car costs (EMI, fuel, insurance, service) no more than 10% to 15%.* Treat these as starting points, not laws.

2. Choose body type and size by need

- **Hatchback:** cheapest, easiest to park and run; best for city use and small families.
- **Sedan:** smoother ride and a separate boot; falling out of fashion but strong in value (the Dzire is the top seller in Part 10).

- **Compact SUV:** higher seating, ground clearance (Part 4), good for mixed Indian roads; the best-selling category.
- **MPV:** three rows, for large families or fleet use (Ertiga, Innova Hycross).
- **Larger SUV or 4x4:** highway comfort, space, off-road ability (Part 3); higher cost and running cost.

3. Choose fuel and technology by your kilometres

The right powertrain depends on how far you drive and what you can access. Use this table as a start, then do the break-even sum below.

If you...	Consider	Why
Drive under about 8,000 km a year	Petrol	Lowest purchase price; savings of other fuels rarely pay back
Drive 12,000 km or more, mostly in the city	Strong hybrid, CNG	Lower fuel bill per km (Part 7)
Can charge at home and drive mostly locally	EV	Cheapest per km (Part 6)
Drive long highway distances, carry loads	Diesel or efficient petrol	Torque and efficiency at steady speed (Part 2)

Break-even = extra price ÷ saving per km. Suppose the CNG version costs ₹90,000 more (an assumed premium) and saves ₹2 per km: you need 45,000 km to recover it, about 3.75 years at 12,000 km a year. If you will sell the car sooner, the premium may not pay back.

4. Set your safety non-negotiables

- Six airbags, ESC and ISOFIX child-seat anchors as standard on the variant you buy (Part 5).
- Check the NCAP rating for that variant, the protocol and the year.
- Treat ADAS as a bonus, not a substitute (Part 8).

5. Shortlist three, then test drive properly

Check	How	What it tells you
Ride over a speed breaker	20–30 km/h on a rough road	Suspension comfort and clearance (Part 4)
Pulling away and overtaking	From low speed, then at 60–80 km/h	Torque spread and gearbox response (Parts 2–3)
Traffic crawl	In stop-go conditions if possible	Clutch effort or automatic smoothness
Cabin and boot	Sit in the back; pack your usual luggage	Space and comfort for everyone
Noise and vibration	At idle and at 80 km/h	Refinement; three-cylinder vs four (Part 1)
Visibility, controls, screen	Park it	Daily usability

6. Pick the variant

Variants of one model can differ by lakhs of rupees. Base variants often lack safety and convenience items; top variants add features that cost more than they are worth to many buyers. A common approach is to choose the mid-level variant that has the safety items you need, the gearbox you want and the screen and features you will actually use.* Check that the airbag count and ESC match what you read about the model.

7. Finance, insurance and negotiation

A car loan's monthly instalment is: **EMI = P × r × (1+r)^n ÷ ((1+r)^n − 1)**, where P is the loan, r the monthly rate and n the number of months. For ₹8 lakh at 9% a year (an assumed rate), the EMI is about ₹25,440 over 3 years, ₹16,607 over 5 years and ₹12,871 over 7 years. The longer the loan, the lower the EMI but the more interest you pay:

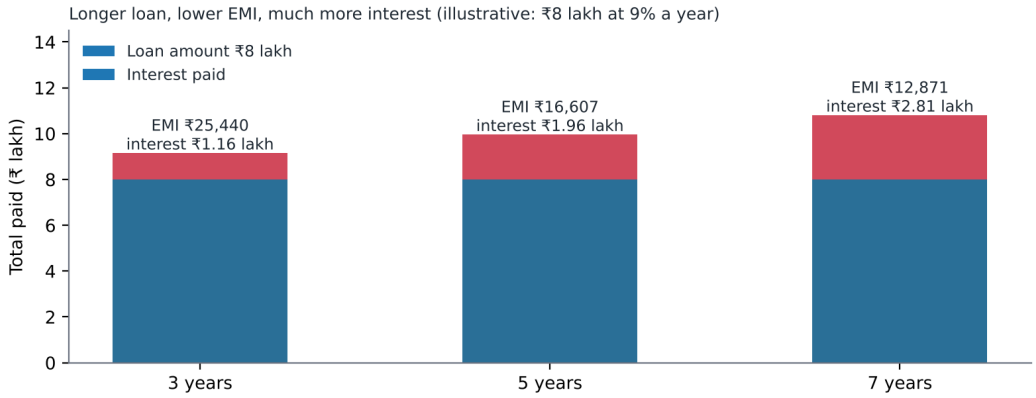


Fig 2. The same loan over three tenures. A 7-year loan pays about ₹2.8 lakh of interest, against about ₹1.2 lakh for 3 years.

- **Down payment:** a larger down payment cuts interest; avoid stretching tenure just to get a lower EMI.
- **Compare lenders:** bank, dealer and NBFC rates vary; ask for the full cost including processing fees.
- **Insurance:** compare comprehensive quotes from several insurers, not only the dealer's; consider a zero-depreciation add-on for a new car.*
- **Negotiate the whole deal:** ask for the discount, free accessories or exchange bonus in writing; check waiting periods and the delivery date.
- **Inspect at delivery (PDI):** check paint, panels, VIN, odometer reading, spare wheel and documents before you pay the balance.

8. The real cost of owning a car

Total cost of ownership (TCO) = on-road price + fuel + service + insurance renewals + interest − resale value. A five-year illustration, with every number assumed (60,000 km at ₹6 per km for fuel, 50% resale of the ex-showroom price):

Item (5 years)	₹ lakh	Note
On-road price	13.94	From Fig 1
Fuel	3.60	60,000 km × ₹6
Service and tyres	0.60	Assumed
Insurance renewals (years 2–5)	1.60	Assumed ₹0.40 lakh a year
Loan interest	1.96	₹8 lakh at 9%, 5 years
Less: resale value	−6.00	Assumed 50% of ex-showroom
Net cost of ownership	15.70	About ₹3.1 lakh a year, about ₹26 per km

In this example depreciation (on-road price minus resale value, ₹7.94 lakh) is about half of the net cost, while fuel is about one-sixth of gross outflows. That is why resale value matters as much as mileage when you compare two cars.* Cars with strong resale (often those from large, established brands) can cost less to own even if their price is higher.

Summary

- Budget on the on-road price and the five-year cost, not the ex-showroom headline.
- Choose body type by need, and fuel by annual kilometres using break-even = extra price ÷ saving per km.
- Make six airbags, ESC and ISOFIX non-negotiable on the variant you buy.
- Test drive three cars on real roads and check ride, pull, traffic comfort, space and noise.
- EMI falls as tenure rises, but interest paid rises sharply; keep the loan short.
- Depreciation is often the largest ownership cost; resale value belongs in the comparison.

*Unverified or general knowledge: the 15% on-road uplift, road-tax variation and EV waivers by state, the 15% and 10–15% personal-finance rules of thumb, the mid-variant heuristic, insurance add-on advice and the resale remark are general knowledge, not checked against official documents or your own quotes. The 1% TCS rule was cross-checked in November 2026 (TaxGuru, TDSMAN). Every rupee figure in this chapter (road tax 10%, insurance 3.5%, ₹0.20 lakh extras, 9% loan rate, ₹6 per km fuel, ₹90,000 CNG premium, 50% resale, service cost) is an assumption to show the method. The EMI formula is standard. Check current taxes and rates before deciding.

See also: the rest of the Automobile Engineering series (parts 1 to 12). Next: Part 12, the complete series in one PDF.